



Time: 5 minutes

Outcome: Analyze minimum wages, unions, job search, and efficiency wages.

Difficulty: Intermediate

Labor-Market Institutions

THE CORE IDEA

Labor-market institutions change wages, hiring, search incentives, and the balance between labor supplied and labor demanded. Efficiency wages can improve effort and reduce turnover. A binding minimum wage can create a surplus of labor, meaning more workers want jobs than firms want to hire. Unemployment insurance can support job seekers, but may also reduce urgency to accept a job quickly.

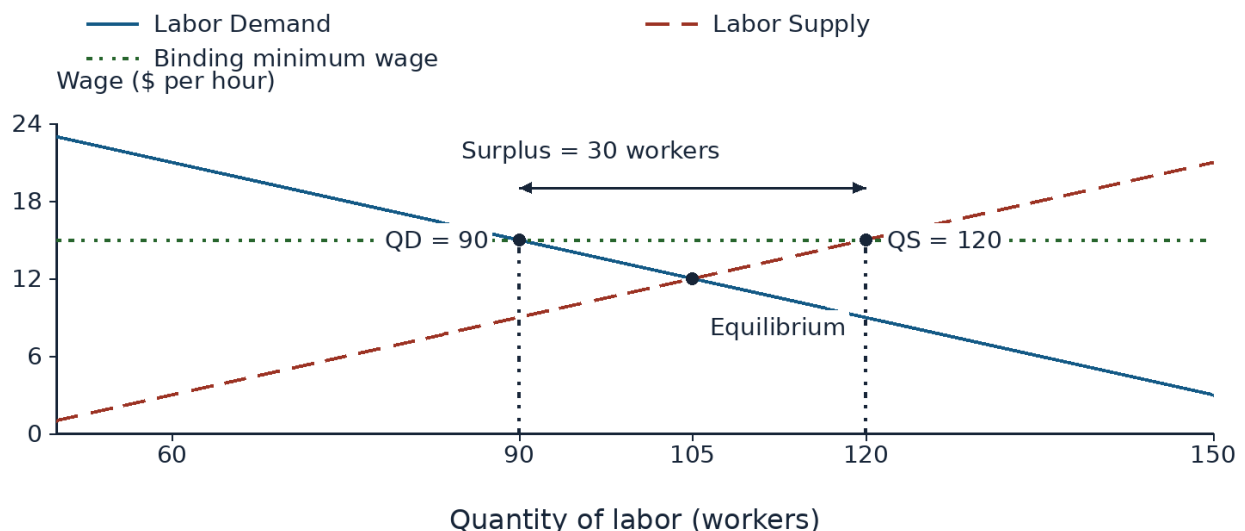
HOW TO RECOGNIZE IT

- A binding minimum wage can create a surplus of labor, meaning more workers want jobs than firms want to hire.
- Unemployment insurance can support job seekers, but may also reduce urgency to accept a job quickly.
- A firm raises wages above equilibrium and worker effort rises enough to improve productivity, but fewer workers are hired at the higher wage.
- Unemployment insurance can reduce the cost of continued job search, which may lengthen unemployment spells.
- Union wage bargaining can raise wages above equilibrium and reduce the quantity of labor demanded.

WATCH OUT

Do not forget that a binding wage floor creates a surplus when labor supplied exceeds labor demanded. A binding minimum wage can create a surplus of labor, meaning more workers want jobs than firms want to hire.

WORKED EXAMPLE: BINDING MINIMUM WAGE



At a binding minimum wage, 120 workers want jobs and firms hire 90. The labor surplus is $120 - 90 = 30$ workers. The wage is held above equilibrium, so the quantity of labor supplied exceeds the quantity demanded.

CHECK YOURSELF

Why can more generous unemployment insurance lengthen some unemployment spells even while protecting workers?

READY?

Return to the game and master this concept.